

TEN STEPS TO GETTING THE CONTRACT SIGNED



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Client education is an important aspect of any profitable home performance business.

by MIKE GORMAN

The average person can't tell the difference between a good medical diagnosis and a bad one. Neither can this person tell a good tax return from a poorly prepared return. Likewise, the typical homeowner can't discern good from bad when judging a furnace, window, roof, or siding installation. With little understanding of what we do as contractors, and very few benchmarks for measuring value versus cost, consumers usually see hiring a professional contractor as an unfortunate expense, rather than a solid investment.

Many contractors believe that homeowners object most often to the price because this is the objection that they hear most frequently, when in reality this objection is simply the easiest way for the homeowner to dismiss our proposal for

whatever reason—we're too tall, thin, old, young, loud, quiet, or simply not likeable, believable, or trustworthy. Perhaps it even provides a comfortable retreat for those who simply realize that they can't afford the project—not because our prices are too high, but just because they haven't the means to act on our proposal.

Many homeowners are open to understanding the costs and benefits of a higher-quality job, but only if we are willing and able to educate them. Depending on whose research you read, as few as 10%–15% of consumers use cost as their primary deciding factor. I would like to propose that most people will rely on price as the deciding factor only when they lack other information that would help them to decide which contractor to trust with their expectations.

If we could educate prospects to understand what goes into a good furnace or insulation installation at the time we give the proposal, they would know what to look for, should they undertake the burden of collecting bids. At the same time, they might be less inclined to do so. How do we do that?

First, we'll return their phone call promptly—within two hours, maximum. This might mean checking our messages from a

remote location, or checking in with the office more often during the day.

Second, we'll spend some time with them on the phone. Many of your competitors don't know that the longer the prospect stays on the phone with you, the more likely he or she is to buy from you. We use a script of carefully crafted questions to gather information to determine in advance whether this prospect is likely to buy our product at our price.

Third, once we have determined that this prospect fits the profile we are looking for, has some need for the job, can pay for the work, and maybe even has some reason to trust us, we'll make an appointment—but only after getting a commitment from the prospect to pay for testing.

Fourth, we'll keep the appointment, to the minute. When a responsible person comes to the door, maybe we'll say something like: "Good afternoon, Mrs. Homeowner. I'm Rusty Nail with the Superior Performance Company. We spoke last week about the changes you need to make to your home, and I'm here to see how I can help you." We will accompany this with a firm handshake.

Fifth, we'll suggest that we all sit around the kitchen table; it's friendlier than the living room. We'll spend time visiting with the prospect to build trust and rapport. Trust thrives on common ground. This means that we'll find out enough about the prospect to discover what we have in common, and build trust based on that. Only when we have established trust will we begin to take control of the sales situation. We'll know we have established trust when the prospect talks freely and answers any question we might ask. The last contractor probably ignored this part of the ritual entirely—a big mistake.

Sixth, we'll spend time educating the prospect about our company, making it clear that we are different from the competition. (The prospect probably already suspects this, because we act different.) We'll lay some tools on the table—a digital monometer, a hygrometer, or a laser digital thermometer. These tools will lead the conversation toward temperature, moisture, and pressures in the home. Discuss Pa of pressure and give one of the prospects a crisp, fresh drinking straw. Ask him or her to draw an inch of water up the straw. Chances are the prospect won't be able to, because such a minute amount of pressure is involved. Explain that 249 Pa of pressure are required to perform this feat; this gives the prospect a pretty good idea of the tiny amount of pressure a 1 Pa represents. Explain how simple things like closing bedroom doors or running the clothes dryer can create negative pressures in the home. Prospects who have a gas-fired water heater may be interested to know that the flow of the vent gases in their water heater can sometimes be reversed with as little as 3–5 Pa of negative pressure. In other words, a small negative house pressure can allow vent

gases to enter their living spaces. Explain how the house functions as a system, and look for little signs that might indicate problems, such as noisy ducts, self-closing doors, stains on the carpets beneath certain doors, and condensation. Pretty soon, prospects start suggesting more problematic conditions on their own.

Seventh, we'll explore the house with great interest and take copious notes. We'll then vividly illustrate what we have been saying about pressures, leaks, and air movement by setting up the blower door and having the prospect help us to track down leaks in the shell and ductwork. Let prospects hold the smoke pencil to involve them in the process and make it more memorable.

Eighth, we'll give the prospect permission to leave us at the kitchen table while we estimate the cost of the project on the spot. If the project is too complicated, we'll generate a budget and get a deposit for any further work on a proposal, using a design/build agreement. We'll explain that we will need 30–45 minutes, and remind the prospect that he or she surely has important things to do. If you are uncertain about any factors, such as equipment size, figure on the worst-case scenario for pricing purposes. Let the prospect know that if further research proves that you can downsize, there will be savings.

Ninth, we'll call the prospect back into the kitchen, present our proposal and deliver the price (or budget). We'll stress those little considerate things that we do to make the remodeling experience different from that provided by other companies. The prospect will find this believable because our actions have already set us apart from the competition. Leaving the first appointment without giving a quote is like ending a first date without a kiss—the project's expectations aren't met. The chances of making the sale later diminish the moment we walk out the door. If we have to go back to make the sale, we waste time traveling and reestablishing trust with the prospect when we return. You may leave the first call with an appointment to return within five days (sooner is better) with a complete proposal ready

for presentation, but you should only do this when it is unavoidable. Where to draw the line between the one-call close and the repeat visit varies with the type of work, and with the experience and professionalism of the salesperson. The big question is, when would you rather hear "no"? Wouldn't you rather hear it on the first visit rather than after two or more trips and countless hours invested in paperwork?

If the price is more than the prospect expected—and when is it not—we'll explain the advantages of our financing program. We'll show that the higher price is really insignificant when spread over the term of the loan, and that the income tax deduction for the interest will help offset the higher price. Remember to mention any tax credits that the prospect might qualify for, as well as support from local utilities in the form of rebates or low-interest loans.

Tenth, we'll make the sale—even though our price is higher than the competition's price—by getting a signature on the contract. We'll collect a deposit or get the credit application filled out, and cement the sale by assuring the prospect that he or she has made some wise choices. We'll talk about past clients who have seen utility bills drop and comfort levels rise. We may not sell to every prospect, but at the very least, we will raise the performance bar for the next contractor who delivers a proposal. Unless the next bidder addresses the issues that you educated the prospect about, that competitor is unlikely to build the same level of credibility with the prospect that you enjoy.

We'll drive away, calculating in our heads how much money we will earn. Maybe we should also count how many times we've exceeded the prospect's expectations—a strong factor in getting him or her to buy our product at our price.



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